THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

No. 33/2017JBAV

Re: Concerns on application dossier to amend enterprise registration and investment registration where members fail to contribute capital in full

SOCIALIST REPUBLIC OF VIETNAM

Independence – Freedom - Happiness

Hanoi, Nov 28th, 2017

Respectfully to: Department of Legislation – Ministry of Planning and Investment

First of all, the Japan Business Association in Vietnam ("**JBAV**") wishes to extend its sincerest gratitude to the Department of Legislation – Ministry of Planning and Investment ("**MPI**") for your proactive and effective support to the Working Team No. 6 of the 6th phase of the Vietnam-Japan Joint Initiative ("**VJJI-WT6**").

As discussed in the meeting between VJJI-WT6 and related agencies, currently, some business registration offices and investment registration agencies have inconsistent application of the laws on dossier to amend enterprise registration and investment registration in case of decrease in charter capital and investment capital due to failure of members to contribute the full charter capital as undertaken within the prescribed time limit (i.e., there are instances when it is even required to submit decision of members failing to perform capital contribution obligation). This practice results in difficulties for enterprises if such members failing to comply with capital contribution obligation do not have the goodwill to cooperate. Given that we have received unofficial answer about this issue from Your Excellency at the meeting with VJJI-WT6, we request written guidelines from Your Excellency to facilitate the legal compliance of enterprises, as follows:

Pursuant to Article 48.2 and Article 48.3 of the Law on Enterprises, members shall fully contribute the charter capital it has undertaken to contribute upon enterprise registration within 90 days from the issuance date of the Enterprise Registration Certificate. Within such period, members shall have the rights and obligations corresponding to their ratio of capital contribution as undertaken to be paid. If members fail to contribute any or fail to contribute in full the amount of capital as undertaken upon the expiry of the 90-day period, it shall be dealt with as follows: (i) members failing to contribute capital as undertaken shall automatically cease to be a member of the company, and (ii) the member failing to pay in full its share of capital contribution as undertaken shall have the rights corresponding to the share of capital contribution already paid. Where members

fail to contribute any or fail to contribute in full the undertaken capital, the Company shall register for the change in charter capital and capital contribution ratios of members equal to contributed capital within 60 days from the last day on which the share of capital contribution is required to be fully paid as prescribed under Article 48.2 of the Law on Enterprises.

In addition, failure of members to contribute any or failure to contribute the capital in full shall result in change in the investment capital of project under the Investment Registration Certificate. Accordingly, the enterprise shall also need to fulfill procedures to register the amendment of the Investment Registration Certificate.

Concerning dossier for the change of enterprise registration

To amend the Enterprise Registration Certificate, pursuant to Article 44.2 of the Decree 78/2015/ND-CP dated 14 September 2015 of the Government about enterprise registration, the enterprise shall submit the decision and valid copies of the meeting minutes of the Members' Council attached with the notification on the change of enterprise registration.

Concerning dossier for the change of investment registration

To amend the Investment Registration Certificate pursuant to Article 33 of the Decree 118/2015/ND-CP dated 12 November 2015 of the Government providing detailed regulations and guidelines for implementation of the Law on Investment, the Company shall submit, among other documents, the decision of investor on amendment of investment capital of the project.

As the current laws do not have detailed guidelines on the form of decision and meeting minutes of the Members' Council and decision of investor in the aforementioned cases, we wish to have our understanding confirmed as follows:

1. If there is a member failing to contribute any capital within the prescribed period, the decision and meeting minutes of the Members' Council and the decision of the investor shall not require the presence and signature of such member as such member automatically ceased to be a member of the Company after the prescribed period for full payment of capital contribution; and

2. If there is a member failing to contribute the full capital within the prescribed period, decisions and meeting minutes of the Members' Council and the decision of the investor shall still require the presence and signature of such member, however, the voting rate

shall be calculated based on the total actually paid capital at that time, as such member shall not have the right to vote on the unpaid capital.

We are honored to express our appreciation to Your Excellency and respectfully hope Your Excellency and the Ministry of Planning and Investment would continue supporting us.

Recipients:
- As above;
- [International Cooperation Department - MPI];
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City;
- Save JBAV Office.

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
Chairman

Hiroshi KARASHIMA